

25STCV19916 25STCV19916

County: los-angeles

Division: Civil Law and Motion

Department: 413

Hearing date: 2026-06-25

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Case Number: 25STCV19916 Hearing Date: June 25, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 06/25/2026

CASE NUMBER: 25STCV19916

CASE NAME: CHRISTOPHER STEELE vs

GENERAL MOTORS, LLC

MOVING PARTY: Defendant General Motors, LLC

OPPOSING PARTY: Plaintiff Christopher Steele

PROCEEDING: Demurrer

RULING SUMMARY: Defendant General Motors, LLC's

Demurrer to the Fifth Cause of Action (Fraudulent Inducement – Concealment) is sustained

with leave to amend. Plaintiff shall

file an Amended Complaint within 10 days of the date of this order. The Court continues the Case Management

Conference to _____, 2026, at 8:30AM. The Court sets for the same date and time an

Order to Show Cause re Amended Complaint.

Background

On June

30, 2025, Plaintiff Christopher Steele ("Plaintiff") filed his Complaint

against Defendant General Motors, LLC ("Defendant") alleging five causes of

action for: (1) Violation of Subdivision (d) of Civ. Code § 1793.2; (2)

Violation of Subdivision (b) of Civ. Code § 1793.2; (3) Violation of Subdivision (a)(3) of Civ. Code § 1793.2; (4) Breach of the Implied Warranty of Merchantability (Civ. Code §§ 1791.1, 1794, 1795.5); and (5) Fraudulent Inducement – Concealment.

Plaintiff

alleges that on or about August 30, 2021, Plaintiff entered into a warranty contract with Defendant regarding a 2021 Chevrolet Tahoe with vehicle identification number 1GNSCRKD3MR440288 (the “Subject Vehicle”), manufactured and/or distributed by Defendant; the warranty contract included various warranties; defects and nonconformities o warranty manifested themselves within the applicable express warranty period, including but not limited to an engine defect; Defendant had a duty to promptly offer to repurchase or replace the Subject Vehicle at the time it failed to conform the Subject Vehicle to the terms of the express warranty after a reasonable number of repair attempts; and Defendant did not do so.

On

October 28, 2025, Defendant filed this Demurrer. On March 06, 2026, Plaintiff filed his Opposition. On March 11, 2026, Defendant filed its Reply.

MEET AND CONFER

Before filing a demurrer, the demurring party is required to meet and confer with the party who filed the pleading demurred to, in person or telephonically, to determine whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc. § 430.41.)

The meet and confer requirement has been met. (See Decl. Brian Goh at ¶ 2.)

LEGAL
STANDARDS

A.

Demurrer

A demurrer is an objection to a

pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc. § 430.30(a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) “For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded.” (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) “A demurrer ‘does not admit contentions, deductions or conclusions of fact or law.’” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

B.

Leave to Amend

“Where the defect raised by a motion to strike or by demurrer is reasonably capable of cure, leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question.” (CLD Construction, Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141, 1146.) “A trial court does not abuse its discretion when it sustains a demurrer without leave to amend if either (a) the facts and the nature of the claims are clear and no liability exists, or (b) it is probable from the nature of the defects and previous unsuccessful attempts to plead that the plaintiff cannot state a claim.” (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 889.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.)

DISCUSSION

Defendant demurs to the Fifth Cause of Action (Fraudulent Inducement – Concealment) only.

Initially,

the Court notes that Plaintiff spends eight pages making arguments related to Song-Beverly cases that do not pertain to grounds stated in GM’s Demurrer. (Opp. Section A, 10:10 - 18:3 [discussion of Code Civ. Proc. § 871.21]. Section 871.21 is not mentioned in the moving papers, and the only cause of action demurred to is the Fifth Cause of Action.

A. The Court

Cannot Conduct a Statute of Limitations Analysis Due to the Facts Alleged.

Defendant asserts

that the Fifth Cause of Action is barred by three-year statute of limitations, under Code of Civil Procedure section 338(d), specifically focusing on (1) the alleged date of delivery, and (2) Plaintiff's assertion that defects and nonconformities manifested themselves within the applicable warranty period. (See Demurrer at 8:22-24 [citing Complaint at ¶¶ 11, 18.]

Plaintiff contends

that the cause of action for fraudulent inducement does not run from the date of sale, but rather the date a plaintiff discovers the facts.

Defendant argues

that Plaintiff has not alleged facts regarding the time of discovery and, as such, Plaintiff's allegations are insufficient to toll the statute of limitations. Defendant also argues that it is entitled to know the time and manner of delayed discovery at the pleading stage, citing *Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888 for support that specificity of allegations is needed. The Court addresses specificity in Section B below.

“ ‘A

demurrer on the ground of the bar of the statute of limitations will not lie where the action may be, but is not necessarily barred.’ ” (Favila v. Katten Muchin Rosenman LLP (2010) 188 Cal.App.4th 189, 224 [internal citations omitted].) “ ‘It must appear clearly and affirmatively that, upon the face of the complaint and matters of which the court may properly take judicial notice, the right of action is necessarily barred.’ [Citations.]” (Ibid.)

Pertinent alleged facts related to delayed discovery are:

.

The Subject Vehicle was purchased on August 30, 2021
(Complaint ¶ 6);

.

Defects and nonconformities to warranty manifested themselves

within the applicable express warranty period, including but not limited to engine defects, transmission defects, electrical defects; among other defects and non-conformities (id. ¶11);

.

Plaintiff discovered Defendant's wrongful conduct as alleged shortly before filing the complaint, as the Vehicle continued to exhibit symptoms of defects following GM's unsuccessful attempts to repair them, but GM failed to provide restitution pursuant to the Song – Beverly Consumer Warranty Act (id. ¶ 24);

.

Although Plaintiff presented the Vehicle to Defendant GM's representative in this state, Defendant GM and its representative failed to commence the service or repairs within a reasonable time and failed to service or repair the Vehicle so as to conform to the applicable warranties within 30 days, in violation of Civil Code section 1793.2, subdivision (b). Plaintiff did not extend the time for completion of repairs beyond the 30-day requirement (id. at ¶ 33);

.

The Engine Defect was not known or reasonably discoverable by the Plaintiff before purchase and Plaintiff did not know about GM's fraudulent conduct alleged herein until Plaintiff made a reasonable number of attempts to repair the Engine Defect (id. at ¶ 63)

As pled, the running of the three-year statute of limitations for fraud is not apparent on the face of the Complaint. Therefore, the Demurrer based on statute of limitation is overruled.

B.

Less Specificity Is Required

When the Facts Sought Are More Within the Defendant's Knowledge Than the Plaintiff.

Defendant

asserts that the Fifth Cause of Action fails because the fraud claim is not pled with the requisite specificity. Unlike fraud claims based on active misrepresentations, fraud claims based on concealment require less specificity when the facts sought are known by the defendant but not the

plaintiff. (See *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.*, (2009) 171 Cal.App.4th 1356, 1384.) Less particularity is required when it appears that defendant has superior knowledge of the facts, so long as the pleading gives notice of the issues sufficient to enable preparation of a defense.” (Okun v. Superior Court (1981) 29 Cal.3d 442, 458; see also *Doe v. City of Los Angeles*, (2007) 42 Cal.4th 531, 550 [“Moreover, ‘[p]laintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true.’”].) “The particularity required in pleading facts depends on the extent to which the defendant in fairness needs detailed information that can be conveniently provided by the plaintiff.” (Ludgate Ins. Co. v. Lockheed Martin Corp., (2000) 82 Cal.App.4th 592, 608.)

Plaintiff

asserts, generally, that the acts alleged in this case contain all the elements and exceed the specificity requirements set out in *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828 (“Dhital”). Defendant distinguishes Dhital in its Reply due to agency allegations.

The

Complaint alleges that Defendant concealed and failed to disclose the Engine Defect to Plaintiff at the time of sale and thereafter. (Complaint at ¶ 51; see also ¶¶ 53, 62.) Accordingly, the identity of the Defendant's agent who failed to disclose the Engine Defect is a fact that is more likely to be known by Defendant than Plaintiff. The names of Defendant's agents who had a duty to disclose the existence of the Engine Defect and instead chose to remain silent, are facts within Defendant's knowledge and are discoverable to Plaintiff only through civil discovery.

The Complaint

also sufficiently alleges actual and justifiable reliance. “The existence of the Engine Defect is a material fact that a reasonable consumer would consider when deciding whether to purchase or lease a vehicle equipped with a 5.3L engine. Had Plaintiff known that the Subject Vehicle was equipped with a defective engine, Plaintiff would not have purchased the Subject Vehicle.” (Id. at ¶ 60.) “As a result of Defendant GM's inaction and silence, Plaintiff was entirely unaware that Plaintiff purchased an unsafe and unreliable vehicle. As Defendant GM knows, a reasonable person would consider the Engine Defect important and would not purchase or lease a vehicle equipped with the Engine Defect were the defect disclosed in advance. (See id. ¶ 65.)

Therefore,
the Court finds that the fraud claim is pled with the requisite specificity.

C.

A Manufacturer Can Have a
Transactional Relationship with a Purchaser Sufficient to Give Rise to a Duty
to Disclose.

Defendant asserts it owed no duty
to disclose the Engine Defect to Plaintiff because there was no
transactional relationship between Plaintiff and Defendant. In *Dhital*,
the Court found that the plaintiffs had adequately pled a transactional
relationship sufficient to impose a duty on Nissan as the manufacturer
to disclose defects about the defective transmission.

At the pleading stage (and in the absence of a more
developed argument by Nissan on this point), we conclude plaintiffs'
allegations are sufficient. Plaintiffs alleged that they bought the car from a
Nissan dealership, that Nissan backed the car with an express warranty, and
that Nissan's authorized dealerships are its agents for purposes of the sale of
Nissan vehicles to consumers. In light of these allegations, we decline to hold
plaintiffs' claim is barred on the ground there was no relationship requiring
Nissan to disclose known defects. *Id.*

(*Id.* at p. 844.)

Dhital, at one
point, was in question by the Supreme Court, and review was
granted. The review was subsequently dismissed on December 18, 2024,
effectively affirming the holding of *Dhital* for present
purposes.

On review from a motion for
summary judgment, the Ninth Circuit in *Daniel v. Ford Motor Co.* (9th
Cir. 2015) 806 F.3d 1217 ("Daniel") similarly found that Ford, as a
vehicle manufacturer, had a transactional relationship with its customers
who purchase their vehicles: *Id.*

Id.

Plaintiffs do have evidence that Ford communicates indirectly through its authorized dealerships. Plaintiffs received information about the “characteristics,” “benefits,” and “quality,” Cal. Civ. Code § 1770(a)(5), (7), of the Ford Focus from Ford's dealerships, which is also where they could obtain certain brochures and booklets about Ford's vehicles. Under the terms of Ford's express warranty, Plaintiffs needed to return to Ford dealerships to perform warranty repairs. And it is through its dealership network that Ford circulated its special service messages and technical service bulletins when issues arose with the Focus. Based on this evidence, a reasonable fact finder could conclude that Ford knew that its consumers depended at least in part on its authorized dealerships for information about its vehicles and that Ford's authorized dealerships would have disclosed the alleged rear suspension defect to consumers if Ford had required it. 22222222

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(Id. at p. 1227.) 22222222

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Similarly, in *Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, the Court found that the jury instruction imposing liability on the manufacturer was proper because “[t]here was also evidence showing that J&J was involved in retail sales of JBP to consumers and profited therefrom.” (Id. at p. 1132.) “A proper instruction under *Bigler-Engler* thus would have instructed the jury here to consider whether similar evidence of transactions, advertising, or J&J's direct monetary benefit supported the transactional requirement.” (Ibid.) “On this record, J&J cannot show it is reasonably probable the jury would have found for J&J had it been instructed under *Bigler-Engler* that it had to find a transaction between J&J and Schmitz or her parents.” (Ibid.) 22

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Here, the Complaint alleges that Defendant manufactured and/or distributed the Subject Vehicle. (Complaint ¶ 6.) “At all times relevant herein, GM was engaged in the business of designing, manufacturing, constructing, assembling, marketing, distributing, and selling

automobiles and other motor vehicles and motor vehicle components[.]” (Id. ¶ 4.) Defendant’s marketing materials concerning the vehicle is what induced Plaintiff to purchase the Subject Vehicle. (Id. ¶ 66.) Defendant committed fraud by allowing the Subject Vehicle to be sold to Plaintiff without disclosing that the Subject Vehicle was equipped with the 5.3L defective engine (Id. ¶ 51, 60-66.) “[B]efore Plaintiff purchased the Subject Vehicle, Defendant GM knew about the Engine Defect through sources not available to consumers, including pre-release testing data, early consumer complaints about the engine defects to GM and its dealers, testing conducted in response to those complaints, failure rates and replacement part sales data, aggregate data from GM dealers, among other internal sources of aggregate information about the problem.” (Id. ¶ 51; see also ¶¶ 57-59.)

;

Dhital, Daniel, and Bader support the proposition that a vehicle manufacturer can have a transactional relationship with its vehicle purchasers sufficient to give rise to the duty to disclose.

However, here, unlike in Dhital, Plaintiff has not alleged that any dealership was Defendant’s agent for the purposes of sale of the vehicle.

D.

Rattagan Does Not Bar Plaintiff’s
Fraudulent Inducement Claim

Defendant asserts that Fifth Cause of Action is barred by the economic loss rule pursuant to *Rattagan v. Uber Technologies* (2024) 17 Cal.5th 1 (“*Rattagan*”). The *Rattagan* case was brought by a foreign national against Uber, Technologies, Inc. for fraudulent concealment claims arising during the course of the contract, whereas Plaintiffs’ claims in this action relate to Defendant’s pre-sale/pre-warranty conduct. “*Rattagan*’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations. (*Rattagan*, *supra*, 17 Cal.5th at p. 41, fn. 12 [*italics original*].)”

By contrast, Dhital involved claims for

fraudulent inducement by concealment claims by conduct arising before the sale of the vehicle. The Dhital Court found that “under California law, the economic loss rule does not bar plaintiffs’ fraudulent inducement claim.” (Dhital, supra, 84 Cal.App.5th at p. 833.) “[T]he plaintiffs’ fraudulent inducement claim alleges presale conduct by Nissan (concealment) that is distinct from Nissan’s alleged subsequent conduct in breaching its warranty obligations.” (Id. at p. 841.) ¿As noted, Dhital remains binding precedent on this Court.

Here, Plaintiff’s claims against Defendant arise from pre-sale conduct: “Nevertheless, Defendant GM and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiffs at the time of purchase of the Subject Vehicle or thereafter.” (Complaint ¶ 51.) The fact that the Complaint alleges that the concealment continued even after Plaintiff entered into a warranty contract with Defendant, does not mean the demurrer must be sustained. (See *ibid.* [“Plaintiffs are informed and believe, and based thereon allege, that prior to sale of the Subject Vehicle, GM knew, or should have known, about the Engine Defect. . . Nevertheless, Defendant [] and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiffs at the time of purchase of the Subject Vehicle or thereafter.”].) “A demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy.” (Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1047.)

As noted above, Plaintiff has not alleged that the dealership acted as Defendant General Motors, LLC’s agent in connection with the sale or in regard to pre-sale representations.

Conclusion

For the reasons explained above, Defendant General Motors, LLC’s Demurrer to the Fifth Cause of Action (Fraudulent Inducement – Concealment) is sustained with leave to amend. Plaintiff shall file an Amended Complaint within 10 days of the date of this order. The Court continues the Case Management Conference to _____, 2026, at 8:30AM. The Court sets for the same date and time an Order to Show Cause re Amended Complaint.

Date: 06/25/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court